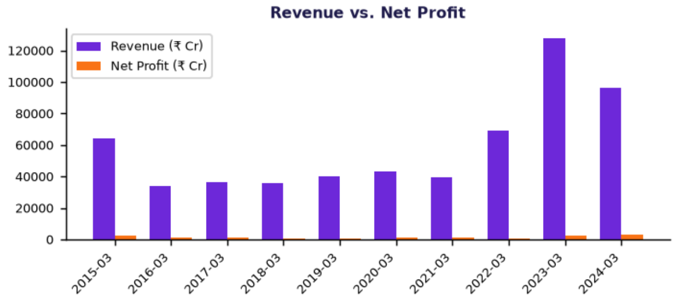
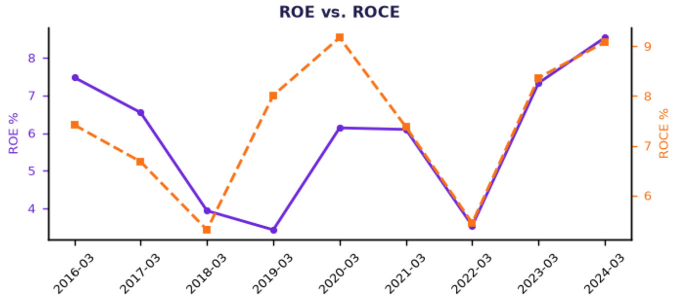
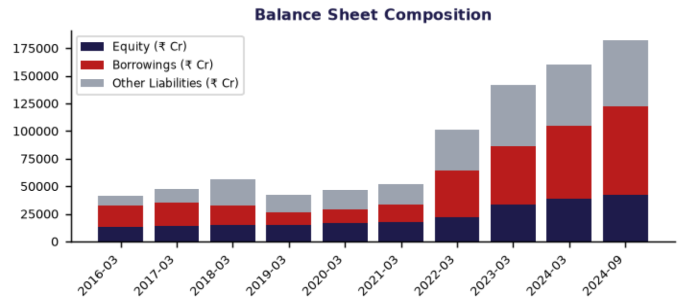
Adani Enterprises Ltd

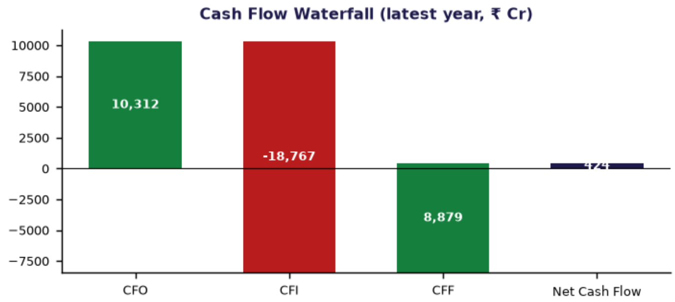
ADANIENT · Industrials / Conglomerates

ROE **8.53%**	ROCE **9.08%**	Net Profit Margin **3.46%**
D/E **1.67**	Revenue CAGR 5yr **19.02%**	FCF (Rs. Cr) **-8,455**









Pros

✓ Net profit compounding at above 20% over 5 years creates significant shareholder value (100% confidence)
✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding (100% confidence)
✓ Revenue growing slower than profits shows improving operating leverage and scale benefits (100% confidence)
✓ Very high interest coverage ratio reflects negligible financial stress from debt servicing (95% confidence)
✓ Return on equity improving for 3 consecutive years shows strengthening business quality (80% confidence)

Cons

✗ Revenue contraction over 2 consecutive years indicates demand weakness or market share loss (100% confidence)
✗ Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk (72% confidence)
✗ Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital (65% confidence)

Capital Allocation Pattern: **Mixed**